

THE STORY SO FAR

► Indian e-pharmacies raised \$700 million in funding between 2014 and 2020, with around \$350 million being raised in 2020 alone, per a report by RedSeer Management Consulting

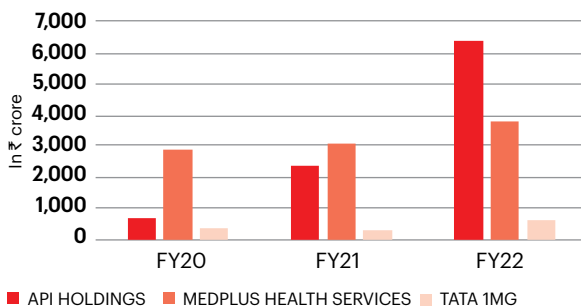
► E-pharmacies have been growing rapidly in India due to the increasing demand for convenience and accessibility in healthcare services, especially in the wake of the Covid-19 pandemic

► Investors are attracted to the Indian e-pharmacy market pegged at around \$2.7 billion in 2021 due to its potential for high growth at a CAGR of 63 per cent between 2020 and 2025, per Research and Markets

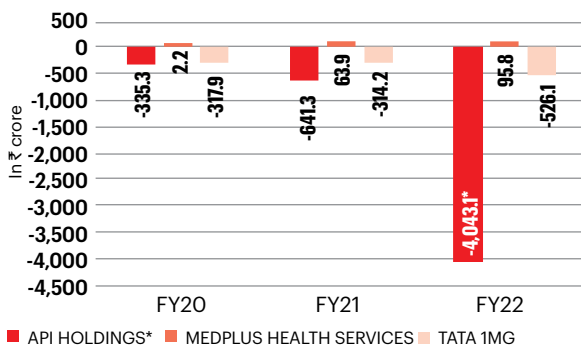
► E-pharmacies have demonstrated resilience in the face of regulatory challenges in the past, such as during the ban on online sales of medicines in 2018. Despite the ban—that was lifted in 2020—e-pharmacies have continued to operate and grow

ELUSIVE PROFITS

Revenues of e-pharmacy firms have grown over the past few years...



...But profitability is still a challenge



*Includes non-cash expense of ₹1,267.1 crore

Consolidated Results;

Source Company, DRHP, BSE, ACE Equity, ProwessIQ

macies are still a relatively new concept and regulations around them are still evolving. The rules and guidelines surrounding these companies could change, potentially impacting their ability to operate and grow,” says Narang.

Tracxn’s Singh says the issues around regulation would be resolved once there is more clarity. “The government’s latest actions appear to be focussed on curbing the misuse of such platforms rather than outlawing them.”

Then there is the challenge posed by physical pharmacies. As offline pharmacy stores are directly impacted by the online stores, the All India Organisation of Chemists and Druggists (AIOCD) lambasted online pharmacies in December 2022 over the “illegal and indiscriminate” discounts being offered by them. It stated that online pharmacies are violating regulations surrounding the sale of drugs and operating a pharmacy. “The discounts being offered by these pharmacies are impacting small retailers and wholesalers across the country. These are predatory prices aimed at driving small pharmacies out of the market, to create a monopoly in the long run,” says Rajiv Singhal, General Secretary of AIOCD.

ON THE ROAD AGAIN

Driven by a search for profitability, dealing with the regulatory void, and the challenges posed by traditional stores, new-age players are now looking at other segments to expand their services and break even. For instance, e-pharmacies such as PharmEasy and Tata 1mg are actively exploring other segments. “We operate across the e-health spectrum and are working to create a differentiated omni-channel digital health company. We believe that Tata 1mg and the broader Indian digital health ecosystem can create models that the world will learn from,” says Prashant Tandon, CEO and Co-founder of Tata 1mg. “In the next phase, we will deliver more integrated and patient-centric healthcare models.”

In a bid to prevent investors from losing interest in the sector, the platforms are working on a new formula. Firms that started as e-pharmacies are now trying to bring better access, affordability and authenticity in healthcare services through the usage of tech. “We are looking into new segments such as corporate health, cancer and specialty care. Outpatient insurance partnerships is another key area we are exploring actively,” Tandon adds.

Sheth of PharmEasy says that the e-pharmacy is just one of the business units for them now, and a platform play is afoot in the segment. “We are working on doctor consultations, medicine supplies and diagnostics, which forms the entire OPD platform,” he says. “So, yeah, we are working on multiple segments within healthcare to provide a continuum of care.” **BT**

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